

NYAX · FY2025 Q4

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CAST (IN ORDER OF APPEARANCE)**Operator**

Operator

Aaron Greenberg

Vice President, Investor Relations

Chris Kennedy

Analyst, William Blair

Josh Nichols

Analyst, B. Riley Securities

Yair Nechmad

Chief Executive Officer

Operator

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Begit Menor

Chief Financial Officer

Chris Tseng

Analyst, UBS

Sanjay Sekharani

Analyst, KBW

OPERATOR Operator

Hello, everyone, and welcome to NIACS' fourth quarter and full year 2025 earnings conference call. All participants at present are in listen-only mode. Following management's formal presentation, instructions will be given for the Q&A session. As a reminder, this conference is being recorded. I would now like to turn the call over to Mr. Aaron Greenberg. Please go ahead, Aaron.

AARON GREENBERG Vice President, Investor Relations

Thank you, Operator, and everyone for joining us today on this conference call. With me on the call today are Deir Nechmad, NIAC's co-founder and chief executive officer, and Sageet Manoor, chief financial officer. Following management's prepared remarks, we will open the call for the question and answer session. Our press release and supplementary investor presentation are available on our investor relations website at ir.niacs.com. As a reminder, during this call, we will be making forward-looking statements. All forward-looking statements on our call today are based on assumptions and therefore subject to risks and uncertainties that may cause results to differ materially from those projected. We have no obligation to update these statements except as required by law. You can read about these risks and uncertainties in our supplementary investor presentation released earlier today and our regulatory filings. In addition, today's call will include a discussion of non-IFRS measures. Management believes non-IFRS results are useful in order to enhance our understanding and our ongoing performance. However, these measures should be considered as a supplement to and not as a substitute for IFRS financial measures. A reconciliation between NIACS's non-IFRS to IFRS measures can be found in our earnings price release issued earlier today. All key performance indicators are intended to evaluate our business and properly measure factors in a macroeconomic environment to guide and support our decision-making. These performance indicators may be calculated in a matter of difference from the industry standards. And finally, please note that all figures in today's call will be reported in U.S. dollars unless stated otherwise. Yair will start the call with key financial and operational highlights. Following that, I will continue with details about our acquisition strategy and two new initiatives we are working on. Finally, Sageet will go through the details of our financial results and discuss the outlook. And with that, I would like to turn the call over to NYX's CEO, Yair Nechmad.

OPERATOR Operator

YAIR NECHMAD Chief Executive Officer

Thank you, Aaron, and thank you all for joining us today. We delivered strong 2025 results and a very solid fourth quarter. For the first time in our company's history, we delivered strong net income, \$35.5 million compared to a loss just one year ago, a milestone that reflected the true earning power of our business model. In 2025, we continue to scale profitability to record margin, advance our strategic priorities, and execute it well across the organization. I want to recognize the entire NIAX team for their dedication and hard work, as these results reflect their commitment to our success. We are at an important stage in NIAX's evolution. The foundation we've built over the past 20 years is now translating into consistent profitable growth. Recruiting revenue continues to grow and represents approximately 72% of total revenue for the year, compounding month after month across around 115,000 customers globally. Margins continue to improve, driven by smart routing payment optimization, lower acquiring cost, supply chain efficiency, and ongoing technology enhancement. As we continue to scale, our recurring revenue model drives profitable growth and progress toward our target of a \$1 billion revenue company. On M&A, We completed a strategic acquisition of Linkwell, Tigrapo, Ape, Nyex Capital, and Inepro. Each acquisition expands our platform, strengthens our vertical capabilities, and enhances our geographic reach. More importantly, these acquisitions accelerate the growth engines we've built over many years. Reaching to our TAM, the market opportunity remains significant. Cashless penetration in automated self-service environment is still relatively low worldwide. Every touchpoint is a connected commerce opportunity for us, whether it is vending, EV charging, fuel, laundromat, amusement, and other verticals. The global shift towards digital payment, IoT connectivity, and retail automation continue to accelerate. But the question for NIAX is not just about the size of the market. It is about our structural position to capture it. And that position, I believe, has never been stronger. This is a complex industry with meaningful barriers to entry. And we figured it out with the right product fit and solution for the market. At its core, the integration across thousands of machines type operation in fully unattended environment. regulatory certification, and reliability at scale require deep proprietary expertise. This is what we have built over the past two decades and is validated by our loyal customer network. What this creates is structural positions that compound over time. Each of our connected devices is a long-lasting market touchpoint, running on our software, processing transactions on our platform, and generating recurring revenue for years. These are assets embedded in the market and this footprint at this scale across so many vertical and geographies is not built overnight. It takes years of execution and it is not easily replicated. In addition, the ongoing conversion of machines from cash to cashless continue to increase revenue per device providing durable growth driver within our existing customer base. The software layer above that hardware is where the economics gets particularly strong. Our platform gives operators real-time monitoring, remote management, consumer engagement, and business analytics capabilities our customers depend on every single day. This translates directly into high retention and low churn. The result is a software and payment business with strong margin and customer relationship that deepen over time. At the center of our strategy is vertical payment. We provide the hardware, software, and global payment infrastructure with payment connecting the entire platform. Our payment engine is fully proprietary, licensed, actively processing and growing volume at a rate that continues to outpace device growth, meaning monetization per device is increasing. We are building a platform that gets stronger and more valuable with scale, creating a compounding network effect. Every merchant we add increases the value of our platform. Every transaction we process improves our routing algorithm. Every device we connect strengthen our propriety data mode. This is not a linear business. It is a compounding one, and this integrated approach increases customers' retention and strengthens long-term relationships. Let me update you on the progress we are making on our four core strategic areas of focus and how we are positioned for achieving long-term success. Automated self-service remains the foundation of NIACS. Today, we are serving more than 40 automated self-service verticals globally. Geographically, we now operate in more than 120 countries and continue to expand fully into

additional markets. From a product standpoint, we launched our new flagship device, the Vipos Media, in Europe, Israel, and Australia. This device introduces a screen-based consumer experience at the point of sale enabling advertising, loyalty program, and customer engagement directly on the machine. We also completed several UNO Mini OEM integration, expanding our distribution channel of our installed reader directly at the factory level. This approach reduced retrofit requirement and lower customer acquisition cost while positioning NARCS as the preferred integrated solution. Turning to EV, another core area of focus where we built a dedicated division and successfully expanded into the UK and Australia, while continuing to work with leading operators around the world. The recent acquisition of LinkWell was an important milestone. It enabled us to offer a combined payment and AI-enabled software offering purpose-built for EV charging. We also introduced a new leading solution on our EV kiosk, allowing drivers to initiate payment and access session detail via QR code without requiring an app, simplifying the payment experience. Our approach in EV mirrored what we successfully built in vending, providing operators with flexibility to choose payment software on a fully integrated solution. Payment remains central to the model, reinforcing customer stickiness and long-term value creation. We believe this position us well as the EV ecosystem continues to develop. Aaron will elaborate more about the recent consolidation we have done internally to facilitate synergies as a result of our successful integration of our EV departments. With regards to geographic expansion, we see substantial opportunities, particularly in Latin America, one of our fastest-growing regions. Cache-less penetration remains relatively low and demand is increasing. Our device base in Brazil doubled year-over-year. With VM technology and AppPay in Brazil and integral vending in Mexico, which will be joining NIAC soon, we have established strong local infrastructure to support our continued regional expansion. In Asia, we see one of the largest untapped markets for automated self-service commerce globally. In 2025, we invested in regional leadership across Singapore, China, and Japan, giving us the foundation to scale across the region in 2026 and beyond. Finally, Operational efficiency remains a key focus. We now operate in more than 120 countries across 13 offices with approximately 1,200 employees. Over the next several years, we are focused on increasing revenue per employee to \$1 million. We intend to achieve this through continuing resource optimization effort, a greater use of AI, and process automation across the organizations. As a founder and CEO, I couldn't be more excited about what still lies ahead for the company. Our focus is on continued growth, disciplined execution, increasing profitability, and most importantly, supporting our customers globally. We are very proud of our net revenue retention rate, which remains strong at around 120%, reflecting the value of our technology to our customers and the strength of our payment platform. With that, I will turn the call back to Aaron to discuss our acquisition strategy and two new strategic initiatives. Aaron, please go ahead.

AARON GREENBERG Vice President, Investor Relations

Thank you, Yair, and hello, everyone. I'm excited to update you on our acquisition strategy, as well as provide more color on two new strategic platforms that we believe can meaningfully impact our growth trajectory in the years ahead. With respect to our M&A strategy, 2025 was a productive year. In total, we deployed about \$52 million of capital, completing five acquisitions, LinkWell, UpPay, InterPro, and the remaining stake in Nyex Capital and Tagapo. Each of these fit our M&A strategy, expanding our geographic reach, adding to our technological capabilities, consolidating our target verticals, and strengthening the long-term infrastructure of our payment solution ecosystem. Collectively, these acquisitions contributed to the expansion and monetization of our customer base, combining payments, software, and financial services. I'll now provide an update on each acquisition and the successful integration to date. Starting with Brazil, UpPay has now been fully integrated into VM Technologia. The two entities are now legally and operationally merged with unified systems and one consolidated team structure. We are already seeing the benefits of operating as one platform with improved coordination, streamlined development, and stronger go-to-market execution. Brazil remains a high-growth market for automated self-service, and we are excited about our potential there in 2026 and beyond. Turning to Europe, InnaPro has been fully integrated and now operates as

Niax BZ, our direct sales office in the Benelux region. Transitioning from a distributor model to a direct office has already generated synergies and strengthened our local presence. This transaction reinforces one of our core M&A approaches, which is selectively acquiring distributors in strategic markets to open direct channels, increase margin, and improve customer relationships. It has been a very successful model, and we will continue evaluating similar opportunities where they present a unique value proposition. In November, we completed the purchase of the remaining shares of Tagapo, bringing our ownership to 100%. Tagapo gives us a strong and differentiated software solution, the Family Entertainment Center Vertical, a sector where payments and software must work seamlessly together to ensure optimal customer experience in a fast-paced, energetic environment. We've integrated the team and transitioned leadership under Yannone Raviv, who brings significant global operating experience and has been with NIACS for several years. This positions us well to expand further in this attractive and growing vertical, which grew significantly in 2025. At the end of the year, we acquired LinkWell, which accelerates our verticalization strategy in the EV charging space. We believe strongly that pairing payments with purpose-built vertical software creates a much stronger value proposition for our customers. Immediately following the closing, we consolidated Linkwell with Nyex Energy, merging the teams and appointing Jason Zurillo, Linkwell's co-founder, as the new head of Nyex Energy. We intend to migrate all Nyex Energy software customers to the Linkwell platform over the coming months. We see meaningful synergies over time as we offer a more comprehensive, vertically integrated EV solution that combines payments, management software, and e-commerce capabilities. Finally, we purchased the remaining stake in Nyex Capital from our joint venture partners, Bank Kapwa Aleem, and individual investors. Bringing this technology fully in-house allows us to control and accelerate our global financial services roadmap. Let me now describe how we see the evolution of our customer model going forward. Historically, our model has been straightforward. We sell hardware, drive increased recurring ARPU through embedded software and payment processing. Growth per customer has been driven by increased processing volume per device and our land and expand strategy across additional devices and locations. As we look ahead, we believe ARPU per customer can increase more meaningfully through the adoption of two strategic initiatives. The first is Nyex Capital. Originally focused on installment payments and rental solutions for Nyex hardware, we are now expanding this into a broader financial services platform. Our first step will be soon launching a deposit account offering, the Yellow Account, through Avian as our banking sponsor. Over time, we intend to layer additional financial services onto this platform, such as lending and issuing. We see a significant opportunity here, particularly in the United States, where we serve a large install base of customers whose broader financial services are currently handled by other financial service providers. By offering integrated financial services alongside payments, we can provide additional value to customers while leveraging our existing relationships. This is an opportunity to expand our ARPA efficiently as it builds on our current customer base. The second initiative is e-commerce, specifically our SDK-based e-commerce solution, which we are initially deploying in the EV charging industry. We will provide this both directly through our own EV mobile application for SMB customers and through an SDK for larger operators. Both e-commerce solutions are in partnership with Audium. We believe e-commerce can unlock incremental processing volume that would not have otherwise flowed through our platform, particularly in unattended verticals such as EV charging and amusement. Over time, we expect this to become an additional driver of processing growth and customer stickiness. Looking ahead, our M&A strategy is clear. We are prioritizing segments such as parking, mass transit, and laundry as three key verticals where we see clear opportunities to strengthen and further verticalize our payments offering. As we've demonstrated with EV charging and family entertainment centers, combining vertical software payments strengthens our competitive positioning and increases long-term value creation. Our focus is on accretive growth which accelerates payment processing volume through our financial infrastructure. We have the capacity to act when the right opportunity arises. With a strong balance sheet, which includes more than \$300 million of cash, we have the ability to move quickly when we identify assets that align with our long-term strategy. We also continue to favor founder-led or founder-

owned companies, where cultural alignments and long-term partnership tend to be stronger. I would now like to pass the call over to our CFO, Begit Menor, to go over our financial results and provide our outlook for 2026. Begit?

BEGIT MENOR Chief Financial Officer

Thank you, Aaron, and good morning, good evening, everyone. We appreciate having our shareholders, analysts, and the entire NIACS team with us today as we review our results. 2025 was the year where the scale of our platform translated into meaningful profitability and marked a historic inflection point. Over the past several years, we have focused on expanding our installed base, growing transaction activity, and deepening our recurring revenue mix. And this year, that strategy showed up clearly in our margins. Both gross margin and adjusted EBITDA margin expanded, driven by improved processing economics and operating leverage as the platform scales. Importantly, this was structural margin expansion, not a result of one-time cost actions, reflecting the inherent economics of our transaction-based recurring revenue model. Additionally, 2025 marked another historic inflection point, our first ever net income coming in at \$35.5 million compared to a loss just one year ago, a milestone that reflects the true earnings power of our business model. Recurring revenue now represents approximately 72% of total revenue, providing improved visibility going forward. The strength of this model is reflected in our platform activity. Our installed base reached 1.46 million managed and connected devices, serving approximately 115,000 customers globally. Total dollar transaction value grew 32% to approximately \$6.4 billion a direct result of our expanding device and customer base, which is a direct driver of recurring revenue growth. We also saw a favorable mix shift toward higher value verticals. Average transaction value, or ATV, increased to \$2.25 from \$2.05, reflecting continued expansion into EV charging, amusement, and car washes, while our take rate remained strong at 2.7%. Combined, these indicators show that growth is coming from deeper engagement and higher value usage across the platform. In 2025, total revenue reached \$400 million, representing 28% year-over-year growth, including approximately 24% organic growth. Recurring revenue continued to grow, increasing 29% to approximately \$287 million and representing 72% of total revenue. Processing revenue increased by 30% to approximately \$174 million, primarily driven by higher number of transactions across our connected device base. Beyond expanding our customer and device base, we are also increasing the revenue generated from each connected device. Average revenue per unit, or ARPU, increased to approximately \$239 up 11% year-over-year, reflecting deeper engagement of customers with our platform. This increase is driven by two factors, continuous conversion of existing machines from cash-to-cash transactions and our expansion into higher-value verticals such as EV charging, amusement, and car washes. As customers are processing more transactions through our platform, they are increasingly using additional software and payment capabilities, which result in higher recurring revenue per device. Over time, we expect further output expansion as we introduce additional platform services, including embedded financial services, to our existing customer base. This brings us to hardware. Within our model, hardware functions as the deployment layer of the platform. Each new installed device expands our connected base and enables future transaction activity, which then converts into recurring processing fees and software revenue over the lifecycle of the device. In 2025, hardware revenue was approximately \$113 million. More importantly, we added over 200,000 devices during the year, bringing our installed base to approximately 1.46 million devices. This expansion of the installed base supports future transaction volume growth and translates to recurring revenue growth for the years to come. Let me move to profitability and margin. In 2025, we saw meaningful margin expansion driven by both the proven scale of our business model and improved unit economics. Growth margin increased significantly to 48.2% from 45.1% driven by improved efficiency in payment processing and optimizing our hardware cost structure. Processing margin improved to approximately 38% from around 34% primarily due to lower required costs and better routing efficiencies, while SaaS margins remained strong at approximately 76%. Hardware margins also improved following supply chain optimization and component cost reductions. These are deep structural drivers that continue to work in our favor going forward. Beyond gross

margin, we are also still seeing clear operating leverage in our business. As revenue grows, a larger portion of our incremental revenue translates into earnings. Adjusted EBITDA increased to \$61.1 million, representing 15.3% of revenue, while net income was \$35.5 million compared to a loss in the prior year. As mentioned, This is a milestone that marks a fundamental turning point for the business. Net income includes a \$10.3 million one-time gains related to the share purchases of Tigapo and IX Capital. Adjusted EBITDA and margin improved significantly, clearly demonstrating the scalability of our model as volumes increase, operational efficiency improves, and the contribution to profitability strengthens. Turning to our balance sheet, we are well positioned with \$321 million in cash and short-term deposits and \$328 million in debt. This is a comfortable cash position that allows us to pursue strategic M&As and continue accelerating our growth. Free cash flow for 2025 came in at approximately \$12 million, or 20% of adjusted EBITDA, below our guidance. While adjusted EBITDA grew meaningfully year over year, operating cash generation was impacted by deliberate working capital investments. Two dynamics drove the gap. First, the ramp-up of our VPOS media devices required full advance payment to our new contract manufacturer, creating a timing difference that was compounded by inventory built ahead of planned 2026 hardware sales. Second, account receivables increased, driven by strong hardware sales in the month of December and the expansion of our next capital installment portfolio. We view these as growth-driven working capital investments, and we expect a meaningful portion to reverse as collections normalize in 2026. As a result, we expect free cash flow conversion to improve materially in 2026. Looking at Q4, revenue grew approximately 34% and was \$119.5 million. higher than 2021's entire year's revenue, with around 30% organic growth, reflecting continued expansion across our existing and new customer base and growth of our installed devices. Recurring revenue increased 23% year-over-year, and we saw continued margin improvement and operating leverage as transaction activity scaled. How the revenue is particularly strong in the quarter, driven in part by the launch of Vipos Media in Australia and Europe and the ongoing 2G, 3G to 4G upgrade cycle. Importantly, this how the sales further expand our connected device base and support future recurring transaction growth. Looking ahead to 2026, our guidance reflects the continuation of the strong operating drivers we have discussed today. We expect growth to be supported by continued expansion of our install base through both direct sales and OEM integrations. In parallel, we are seeing increased recurring revenue as a result of growing transaction activity per device as cash-to-cash conversion continues and as we expand into higher value verticals. In addition, we expect further monetization from our existing customer base through adoption of new software and the gradual rollout of additional platform services, including embedded financial services. Finally, we continue to onboard customers through thoughtful M&A activity, which increases transaction volume once integrated into our payments infrastructure and improves margin over time. Together, these drivers provide visibility into our expected growth. Looking ahead, Our revenue guidance for 2026 is \$510 to \$520 million, inclusive of organic growth of 22% to 25% and the expected contribution from the link well acquisition. We also expect further improvement in profitability with adjusted EBITDA margin of around 17%, which represents a range of \$85 to \$90 million. We have confidence in these numbers as operating leverage continues to accelerate across the business. Turning to free cash flow, we expect free cash flow conversion of approximately 40% of adjusted EBITDA in 2026, a significant improvement over 25%. This reflects the partial reversal of working capital timing items we discussed, the continued growth of NAICS capital's installment portfolio, and our typically higher concentration of housing revenue in the fourth quarter. We see this as a clear step towards normalized conversion as the working capital portfolio matures. With respect to our midterm 2028 framework, which we introduced shortly after our IPO in 2021, we continue to make measurable progress. The framework includes \$1 billion in revenue driven by a combination of organic growth and strategic M&A, 50% gross margin, and 30% adjusted EBITDA margin. The increasing share of our recurring revenue, the continued growth in output, and the discipline around operating expenses all support the trajectory toward our long-term profile. As we have said before, these targets reflect the long-term flywheel power of our business model as it scales and the operating leverage trajectory, which remains consistent with the framework we outlined. In

closing, 2025 was a year of disciplined execution, We grew our connected device and customer base, deepened our vertical software capabilities, and expanded geographically, all while improving margins and unit economics. As the platform scales, recurring revenue grows alongside it, making our financial profile increasingly predictable and resilient. A growing portion of future performance is supported by our land and expense strategy with our existing customers. Looking ahead, we are laying the foundation for the next phase of ARPU expansion through embedded financial services and e-commerce, with payment at the core. The results today reflect the underlying strengths of our platform and reinforce our confidence in the sustainability of this growth trajectory. I'll now turn the call over to the operator for our Q&A session. Operator?

OPERATOR Operator

Thank you. We'll now be conducting a question and answer session. If you'd like to ask a question at this time, please press star 1 from your telephone keypad, and a confirmation tone will indicate your lines in the question queue. You may press star 2 if you'd like to remove your question from the queue. For participants using speaker equipment, it may be necessary to pick up your handset before pressing the star keys.

OPERATOR Operator

One moment, please, for our first question. Thank you. The first question is from the line of Josh Nichols with B Reilly Securities. Please proceed with your questions.

JOSH NICHOLS Analyst, B. Riley Securities

Yeah, thanks for taking my question, and great to see the real strong acceleration in the enterprise hardware deployments for 4Q. If we could get a little bit more detail on that, could you kind of quantify that this is, given these hardware deployments are featuring future recurrent revenue growth, like There's a lot of that coming from EV charging, as you talked about before, or other specific markets. And how do you think that's going to play out to support the growth for 2026, given the outlook?

OPERATOR Operator

Thanks.

BEGIT MENOR Chief Financial Officer

I can start, and you will continue. Thank you, Josh. Good to have you here. Yes, the strong hardware sales in Q4 were as expected. We've been talking about it for the entire year, about how the second half of 2025 will be stronger than the first half and how it's going to be driven by strong organic growth, which we've shown in Q4, around 30% organic growth driven mainly by hardware. So, you know, it all came together to meet the expected organic growth for the year. And yes, all of those household revenue and household sales are also the enabler for the recurring revenue that comes with it, whether it's in the EV segment or other verticals that we're in. It's always the beginning of the sale, and then we add to that services as well as the processing afterwards. I mean, Yair, anything to add?

YAIR NECHMAD Chief Executive Officer

Maybe just to add one view from my point of view is that we're looking at the pain of customers and we're looking about regarding the cost of acquisitions and we're looking regarding the go-to-market. And it could be that between quarters it will be deferred between unattended EV or unattended vending machines or retrofit or fuel. But the main point that I think need to be recognized is that NIAX is a machine that's building a customer base based on discipline acquisition cost and discipline on gross margin. And I think this is what drives the business in terms of globally and more than 120

countries. And we're becoming to be almost agnostic to the vertical. And that's the beauty about the one-stop solution that we built.

JOSH NICHOLS Analyst, B. Riley Securities

Thanks. Pretty impressive gross margin expansion, like north of 48% gross margin for the year. I know your long-term outlook is to get to 50, clearly. You're getting close to that level already. Thoughts on what the gross margin could look like for this upcoming year for 26, given the guidance and the opportunity longer term to kind of expand above that 50% rate, given the current trajectory that you guys appear to be on?

BEGIT MENOR Chief Financial Officer

You see it right. We're expecting in 2026 and of course in the years to come to stay in that high level margins that we've been able to achieve. That obviously comes from all aspects, whether it's the processing that grew to 38% from 34 last year to the outdoor margins that grew significantly to 35.5% this year, and obviously keeping the margins of the services stable at around 76%. So yes, overall, We are expecting margins to stay at this high level and accelerate as we continue to grow our device sales and device base. And of course, the recurring revenue will continue to increase.

OPERATOR Operator

Thanks. Last question for me.

JOSH NICHOLS Analyst, B. Riley Securities

Good to see the company laying out some pretty healthy organic growth guidance for 2026. Given, you know, you've got plenty of firepower on the balance sheet, is based on what you're seeing in the end markets today, are you still expecting, you know, kind of targeting two to three acquisitions per year? And we should assume that while this isn't in the guidance for 26, that you're likely to close on a few deals this year as well, too.

OPERATOR Operator

Yes, this is Aaron.

AARON GREENBERG Vice President, Investor Relations

Thank you. So I'll start, and maybe Sigeet will come after that. So with regards to the acquisitions, yes, we still have the same targets in mind, doing a few acquisitions a year, two, three acquisitions a year. And we still see a very good pipeline and potential acquisition targets. Nothing's really changed from what we gave in Q3 with that regards, including trying to do a little bit larger transaction this year. Obviously, we have the balance sheet, as you mentioned, with a little more than \$300 million of cash on the balance sheet to be able to use for deployment for M&A, as we mentioned. With regards to the guidance for this year, we guided based on the organic growth as well as the link well acquisition that was closed in December. We did not include any additional M&A in the guidance. You know, so that was a change from last year. And as we go forward, we will only guide on acquisitions that have actually been completed.

OPERATOR Operator

Appreciate it. I'll hop back in the queue. Thanks, everyone. Our next questions are from the line of Chris Kennedy with William Blair.

OPERATOR Operator

Please proceed with your questions.

CHRIS KENNEDY Analyst, William Blair

Great. Thanks for taking the question, and thanks for all the information, and hope the team is safe in Israel. You guys operate in over 40 different verticals. Is there any way to think about the revenue mix or the growth drivers between kind of traditional vending verticals and the higher value verticals, such as EV, car wash, or amusement, what have you?

OPERATOR Operator

Hi, Chris. Yes, this is Aaron again.

AARON GREENBERG Vice President, Investor Relations

So with regards to the mix, obviously, as we've said before, we don't split each of the verticals directly. What I will say, though, is that obviously, some of the higher gross verticals, EV charging, parking, amusement, car washes, and some of these other higher growth verticals, they are growing a lot more than the traditional vending space, which inherently means that the mix is spreading and diversifying across each of these verticals. Obviously, historically, over the last 20 years, it started with vending within NIAX, and it's been expanding into the other verticals. And, you know, we'll continue to see vending become a lower part of the mix as some of these other growth segments continue to bring more volume.

CHRIS KENNEDY Analyst, William Blair

Okay, thanks for that. And then, Yair, you mentioned some investments in Asia Pacific. Can you just talk about the opportunity that you see in those markets? Thanks for taking the questions.

YAIR NECHMAD Chief Executive Officer

Thank you, Chris. The main opportunity that we see now for the short term is mostly in Japan. Of course, Australia and New Zealand is part of what we call ongoing, but I think that the changes that we're doing and preparing ourselves to be more ready for the Japanese market is enormous. We invested a lot of what we call building the platform and the foundation to be ready for the Japanese market in the unattended business. And I think we have a very good team on the ground, and we have a new product, the Vipos Media, that has been certified now in Japan. And I believe that Japan will carry some kind of signs of acceleration in the next year.

OPERATOR Operator

Thank you.

OPERATOR Operator

The next question is from the line of Sanjay Sekharani with KBW. Please receive three questions.

SANJAY SEKHARANI Analyst, KBW

Thank you. Good morning. It's very clear you guys are looking to get more ARPU expansion from the install base. I'm just curious if you could kind of dimensionalize how much can come from, like, existing products and services within the current install base and then obviously embedded finance is another area. Maybe you could just talk about like what the TAM is and sort of how you see that playing out maybe over the next couple of years.

AARON GREENBERG Vice President, Investor Relations

Hi Sanjay, this is Aaron. You know, with regards to the ARPU, you know, we've seen in the last couple of years, you know, the growth rate of ARPU being in the low double digits, you know, predominantly from the processing growth. We haven't seen any changes to that with regards to processing growth and seeing the ARPU expand because of

that. We haven't used software as a lever to try to increase the ARPU. As we continue to look into the outer years, the ARPU growth, besides the processing, which will continue to grow the ARPU, should come from some of these additional value-added services that we're trying to bring to the table. Embedded financial services, as I mentioned, things like lending and issuing, which we hope to bring in over the next year or two here. And... with regard to other services, loyalty and other parts that we can bring as value-added services to our existing customers. We should be able to continue to do that. The other thing that I'll mention as well is, you know, we are expanding a lot on the rental and installment payments, you know, with the NAICS capital acquisition that we did last year, you know, bringing that fully in-house, you know, middle of last year. So that is really that NAICS capital business is the foundation for being able to bring in these additional value-added services. So it'll start with this year with launching the Yellow Accounts, which is the deposit accounts in partnership with Adyen. And then as people start to come onto the platform, we'll be able to add additional value-added services and promote these additional services to them. Got it.

SANJAY SEKHARANI Analyst, KBW

And I guess I have a question about the outlook. When we think about the breakdown between recurring revenue growth and point-of-sale revenue growth, what's sort of baked in?

BEGIT MENOR Chief Financial Officer

Thank you, Sanjay. So, you know, we are in this business for 20 years, right? You know, the last day, if you look just on the last five years, you know, we either, you know, we tripled the number of the managed and connected devices. We did times four the number of customers. We did nine times five the number of the transaction values. that is going through our devices. So the same expected growth that we've seen in the past is expected or the same growth is expected in the next coming years. And recurring revenue will continue to be around 70% from total revenue. which, you know, that's, again, an ongoing basis to our very strong business model, especially with the recurring insight. We've deployed around 200,000 devices in 2025. We're expecting to grow to between 200,000 to 250,000 devices in 2026. So the flywheel is there. The machine is working. know most of our revenue comes from the growth comes from existing customers as well as new but again most of it is coming from from customers the time is still the same so i don't think 26 different than the previous many years that we've continued to show how the flywheel works man could i just ask one follow-up just on the take rates like those have been

SANJAY SEKHARANI Analyst, KBW

sort of coming down consistently over the five to six quarters. I know there's mixed impacts and such, but do you expect those to sort of inflect as we move over the course of this year?

BEGIT MENOR Chief Financial Officer

So I remind you that take rate is impacted by two, basically two drivers. One is the geography where the transaction is going through. The more transactions we have in the U.S., the higher the take rate would be and vice versa, right, versus Europe and whatnot. If you look just on the stake rate, yes, there is some volatility to it, while in Q4 was relatively lower than anything we've seen, I don't know, in the last probably 18 months. However, margin is still continue to grow and still continue to be very strong at around 38%. And the growth is around 30% if you look just on the margins. So the point is that the fluctuation of the take rate can be driven by one, geography, and two, by the verticals by which the transactions went through. What you can see is the strong margins. That's one. Two, average transaction values continue to grow. It's now 225 versus the 205 that we had last year. You know, the healthy KPIs are there on the output that is growing and the ATV that is growing and the margins that are growing. Integrate become, you know, more of a commodity in a sense and not necessarily a growth projection.

OPERATOR Operator

Okay, great. Thank you. Of course. The next question is from the line of Chris Tseng with UBS. Please proceed with your questions.

CHRIS TSENG Analyst, UBS

Hi, thanks for taking that question. So I have a kind of follow-up question on the recurring revenue and retention. I'm just wondering what's your assumption on the net revenue retention for 2026 in your guide and also just looking at the total revenue. Are you thinking about the revenue from existing customers versus new customers?

BEGIT MENOR Chief Financial Officer

Hi, Chris. Thank you. So a couple of things. Regarding the NRL, the net retention rate, we're expecting that to continue to stay in the same range of 2025, which was 120%, something that we're very proud of, including continue to and maintain our low churn rate. So, you know, those two go together. With respect to existing customers versus new, it's around 75 to 80% of our growth that is coming from existing customers. And you can see that consistently over the last probably three years. And I'm expecting for that to continue to be the same. That's really the building blocks. That's really the way the business model is working by selling our customers a few. Most of our customers obviously coming from the small businesses. However, we are very proud of our large customers as well. But the point is that they start with a few and then they buy more over time. as well as with the cash-to-cash conversion, more transactions going through even the same devices that are out there, helping and increasing the existing customer's revenue growth.

OPERATOR Operator

Also, thanks a lot for the color. Thank you. At this time, I'll turn the floor back to Yair Nachmed for closing comments.

YAIR NECHMAD Chief Executive Officer

Thank you for joining us today and for your interest in NIAX. 2025 was a strong year. We grew our business, went deeper into new verticals, and added important capabilities through both our acquisitions and our own product innovation. I want to thank our employees for their dedication, and our customer partners and shareholders for your continued trust. Thank you very much.

OPERATOR Operator

Ladies and gentlemen, thank you for your participation. This does conclude today's teleconference. You may now disconnect your lines at this time and have a wonderful day.